enriching Pakistan

engro fertilizers

annual report 2023

نیا زمانہ نئے صبح و شام پیدا کر!

about the theme

The intrinsic richness of our lands, and the boundless opportunities for revival and prosperity therein, are common metaphors in Allama Muhammad Iqbal's poetic symphony. Amongst the most revered of Iqbal's works, the phrase 'Naya zamana, naye subh-o-shaam paida kar' builds upon this notion. Through it, Iqbal emphasized the importance of embracing one's individuality, heritage, and creativity to forge a lasting impact in the face of evolving times.

For over five decades, Engro Fertilizers Limited has empowered farmers across Pakistan with its world-class products and services, influencing 40% of the Country's agri-productivity and aiming to ensure food security for all. With a focus on innovation and digital transformation, we are striving to build on our rich legacy for a better tomorrow. From pioneering the launch of a next generation fertilizer brand, Engro Zabardast Urea, to the award-winning fintech innovation Engro Humsafar mobile application - the Company continues to make progress in its digital journey.

With a vision to transform the agricultural landscape of Pakistan, Engro Fertilizers Limited remains steadfast in its pursuit of excellence and in upholding the trust of farmers, communities and shareholders, thereby enabling growth for productivity.

company profile

The Company was incorporated in June 2009, post demerger from parent company Engro Corporation Limited (formerly Engro Chemicals Pakistan Limited) effective from January 1, 2010. Today Engro Corporation holds 56.27% of shares of the Company.

EFERT is a renowned name in the Pakistani fertilizer industry, trading on the Pakistan Stock Exchange (PSX) under the symbol “EFERT”. The Company holds a nationwide production and marketing infrastructure, producing leading fertilizer brands optimized for local cultivation needs and demand.

EFERT has earned itself a distinguished name by continually striving to uphold its tradition and the trust of its customers.

company information

board of directors

Mr. Ghias Khan
Chairman

Mr. Javed Akbar | Mr. Farooq Barkat Ali* | Mr. Asad Said Jafar
Mr. Asim Murtaza Khan | Ms. Danish Zuberi

Chief Executive Officer
Mr. Ahsan Zafar Syed

Chief Financial Officer
Mr. Ali Rathore

Company Secretary
Mr. Sunaib Barkat

banking partners

conventional banks
Allied Bank Limited
Askari Bank Limited
Bank Al Habib Limited
Bank Alfalah Limited
Citi Bank N.A
Habib Bank Limited
Habib Metropolitan Bank Limited
Industrial and Commercial Bank of China
JS Bank Limited
MCB Bank Limited
National Bank of Pakistan
Samba Bank Limited
Soneri Bank Limited
Standard Chartered Bank (Pakistan) Limited
Summit Bank Limited
The Bank of Punjab
United Bank Limited

shariah compliant banks
Al Baraka Islamic Bank (Pakistan) Limited
BankIslami Pakistan Limited
Faysal Bank Limited
Meezan Bank Limited

microfinance banks
Mobilink Microfinance Bank
Telenor Microfinance Bank

auditors

A.F. Ferguson & Co Chartered Accountants
State Life Building No. 1-C, I.I. Chundrigar Road
Karachi-74000, Pakistan
Tel: +92(21) 32426682-6 / 32426711-5
Fax +92(21) 32415007 / 32427938

registered office

6th Floor, The Harbor Front Building,
HC # 3, Marine Drive, Block 4, Clifton,
Karachi-75600, Pakistan
Tel: +92 (21) 35297501-10, PABX: +92 (21) 111 211 211
Fax: +92 (21) 35810669
Website: www.engrofertilizers.com
www.engro.com

plant sites

Daharki
Daharki, District Ghotki
Sindh
PABX: +92723 641001 – 10
Fax: +92723 641028 – 9

Zarkhez
EZ-1 P-I-II Eastern Industrial Zone Port Qasim, Karachi
PABX: 021-34740044-49
Fax: +9221 3474 0051

share registrar

M/s. FAMCO Share Registration Services (Pvt) Limited
8-F, Near Hotel Faran, Block-6, PECHS,
Shahrah-e-Faisal, Karachi, Pakistan
Tel: +92 (21) 34380104-5, 34384621-3
Fax: +92 (21) 34380106

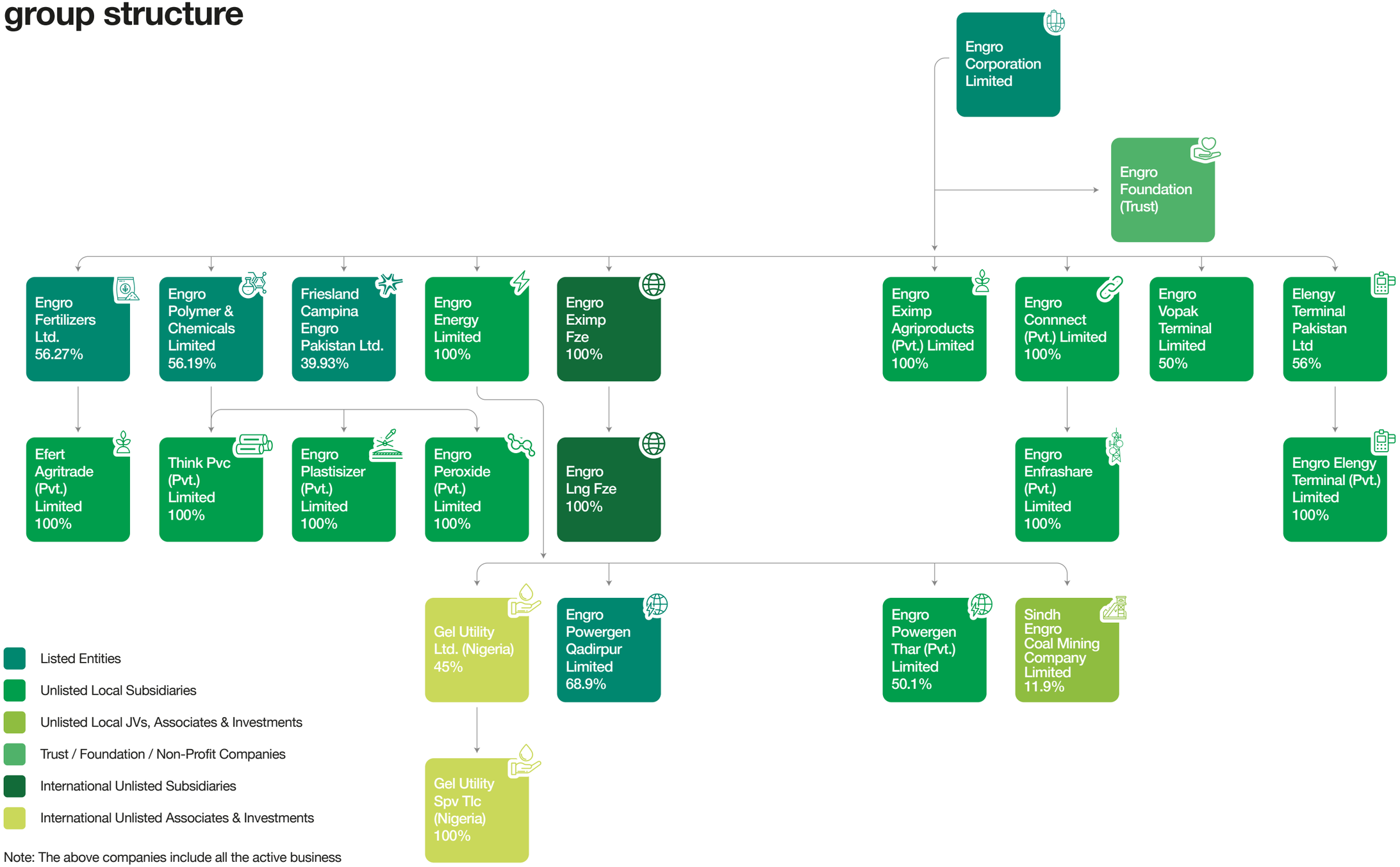
speak-out

Whistleblower Hotline for complaints or concerns in relation to business ethics and compliance
Engro Fertilizers Limited
Ph: +92 (21) 35296012
Email: speakout.fertilizers@engro.com
P.O.Box: 3851, Clifton, Karachi

* Mr. Farooq Barkat Ali was appointed on the board on January 26, 2024



group structure



Note: The above companies include all the active business entities under Engro Corporation.

board of directors



Mr. Ahsan Zafar Syed

Chief Executive Officer

Ahsan Zafar Syed is the Chief Executive Officer of Engro Fertilizers Limited – one of the leading fertilizer companies in Pakistan and a subsidiary of Engro Corporation.

Ahsan is a Director on the Boards of Engro Fertilizers Limited, EFERT Agritrade Private Limited, Engro Elengy Terminal Pakistan Limited, Engro Vopak Terminal Limited, Engro Foundation, Engro Elengy Terminal (Pvt.) Limited, Engro Power Services Limited (NIGERIA) and Tenaga Generasi Limited.

Ahsan holds a BE and MS in Mechanical Engineering. He has close to three decades of experience in managing and leading multi-billion dollar, mega-scale projects such as the fertilizer expansion project of Engro Fertilizers, managing Pakistan's largest rice processing facility in Muridke and establishing the CPEC-endorsed Thar power and mining projects – which have successfully unearthed Pakistan's largest coal reserves in Thar and produced electricity through Pakistan's own fuel source.

Widely respected within the corporate sector as a project guru, Ahsan is a forward-thinker who believes that the corporate sector must prioritize deploying inclusive businesses that focus on human and environmental well-being. At various forums and in his organization, he continues to champion diversity, equity & inclusion; he has headed several diversity initiatives and believes that everyone has to play a part in the team for diversity and inclusion to truly take hold at any organization.

management committee



Ahsan Zafar Syed
Chief Executive Officer



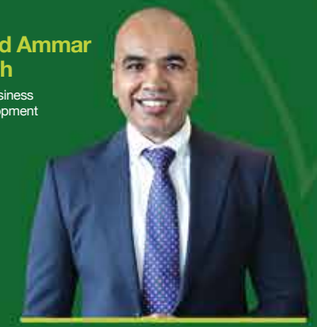
Syed Shahzad Nabi
SVP Manufacturing



Ali Rathore
Chief Financial Officer



Atif Mohammad Ali
VP Marketing



Syed Ammar Shah
VP Business Development

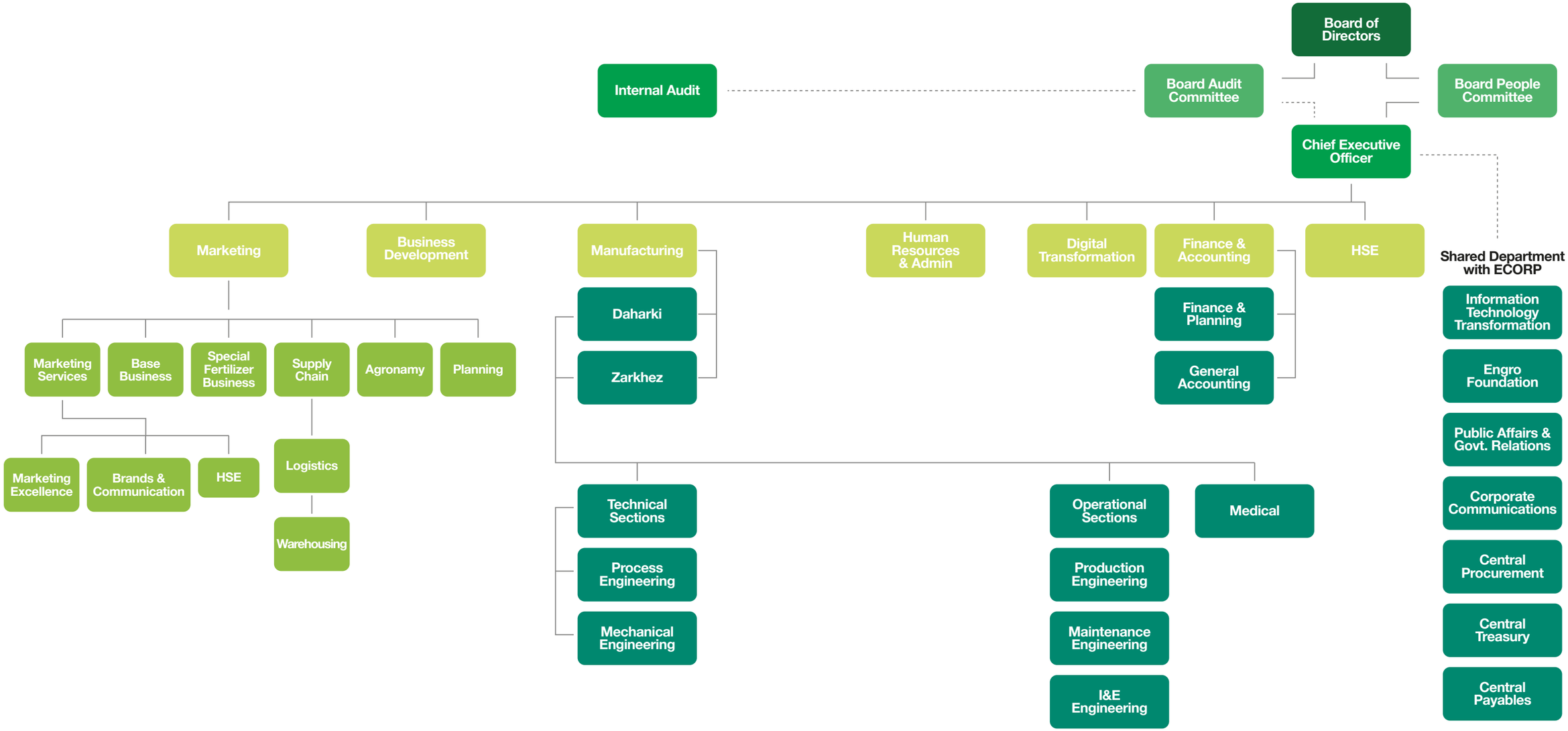


Muhammad Saad khan
VP People & Facilities



Nazia Ali
Head of digital transformation

organogram & employee profile



product portfolio & services

We grow brands

At EFERT, we believe in delivering the highest standards of quality hence our focus goes beyond the performance of brands to how our brands are impacting the lives of our consumers and enriching nutrient deficient lands. Our efforts are directed at increasing crop yields, addressing malnutrition and driving The Nation's Food Security Agenda to meet Sustainable Development Goal (Zero Hunger). Therefore, at EFERT we strive to combine innovation and quality with customer needs and expectations.

The primary business segments of the company are:

Straight Fertilizers (urea, phosphatic fertilizers).

Specialty Fertilizers (Zabardast Urea, Zarkhez Grades).

Agri services including site specific fertilizer recommendations based on 4Rs principles (Right source, Right dose, Right time and Right method of application)

Fertilizers

EFERT has a portfolio of premium fertilizers that focuses on balanced crop nutrition and improved crop yields, including Engro Urea and DAP (Di-Ammonium Phoasphate) which comprise of some of the most trusted brands among Pakistani farmers.



Engro Urea

EFERT set up the first urea production facility in Pakistan, a landmark event in agricultural sector of the country, with a production capacity of 173,000 tons per year in 1968. With various debottlenecking and expansion steps, production capacity increased to 975,000 tons per year. In 2011, the Company set up the world's largest (at that time) single train urea plant of 1.3 Mn tons capacity. Currently, EFERT is producing 2.2 Mn tons per year.

Nitrogen is the most important nutrient required by plants, in large quantities. Engro Urea contains 46% Nitrogen. It is the most concentrated solid Nitrogen fertilizer which is produced in prilled form. It is white in color and is used for soil and foliar applications in all field crops, orchards and turfs for healthy plant growth and improving crop yields. It is marketed in a 50 kg bag.



Phosphatic Fertilizers

Engro NP plus

Engro NP Plus is an innovative formulation that contains Nitrogen and Phosphorus in equal proportions (18:18) providing balanced growth in terms of crop health and productivity.

Additionally, it has Boron and organic fillers. It helps in grain filling and improves grain weight while controlling flower shedding. It is ideally suited for soil application and broadcasting at the time of seed sowing as well as, during early crop growth stage. It is marketed in a 50 kg bag.



key performance highlights 2023

Total Wealth Generated	2023 **77,514** mn 2022 43,312 mn	**Revenue**	2023 **223,704** mn 2022 157,017 mn
Net Profit After Tax	2023 **26,191** mn 2022 16,003 mn	**Cash generated from operations**	2023 **60,555** mn 2022 31,634 mn
Economic Value Added	2023 **16,746** mn 2022 9,237 mn	**ROE**	2023 **56.35** % 2022 34.74 %
Dividend Distributed Per Share	2023 **17.5** 2022 13.50	**Earning per Share**	2023 **19.61** 2022 11.98
EBITDA	2023 **55,691** mn 2022 32,622 mn	**Market Share - UREA**	2023 **35** % 2022 29 %
Return on Assets	2023 **17.1** % 2022 11.5 %	**Urea Production**	2023 **2,313** 2022 1,954 KT
Urea Sales	2023 **2,327** KT 2022 1935 KT	**Phosphates Sales**	2023 **365** KT 2022 333 KT

awards & recognitions



Secured Finalist position Best ESG Campaign for the ESG Awards 2023 held by UNICEPTA.



Won Environment Health & Safety Award and secured the Finalist position for the Safety Culture Award at the Business Awards UK.



Soared to the 4th position on the PSX's list of top 25 Companies, marking our highest rank to date.



Awarded runner-up position for the Best Overall Safety Program and Culture Award at the EHS Daily Advisor-US Safety Standout Awards 2023.

On the Phosphates front, the domestic DAP industry rallied to 1,557 KT vs 1,158 KT in 2022, registering 34% growth year-on-year. This is mainly attributable to improved agronomics and recovery in the Rabi season vs last year where farmers faced significant liquidity crunch due to massive flooding.

segment analysis

Urea
The Company's urea production increased by 18.3% during the year and stood at 2,313 KT vs 1,955 KT in 2022, mainly because of reduced outages at both plants and improved plant efficiencies. Consequently, our urea sales also improved by 20.3% to reach 2,327 KT as compared to 1,935 KT in 2022. As a result, our market share increased to 35% for the year as compared to 29% in 2022.

Due to rising cost of production, significant revision in gas prices and imposition of Federal Excise Duty (FED), EFERT took multiple price increases during the year to maintain the expectation of its shareholders and ensure upcoming capital expenditure requirements of the plants.

Phosphates (DAP / Zorawar / NP)
The Phosphates business managed volumetric sales of 365KT compared to last year's sales of 333 KT. The increase in sales is attributable to an improved industry. The Company also managed to earn good margins on these sales through efficient procurement and effective sales management.

Specialty Fertilizer Business (SFB)
Our Specialty Fertilizer Business registered an 83% revenue growth on the back of a staggering 47% increase in volumes year-on-year. Zabardast urea, which is a bioactive nutrient fortified fertilizer, continues to grow during the year with its proven impact on yield enhancement. The potash-based products and micro-nutrients remained stable owing to international price stability.

Crop Sciences Division (CSD)
The Company re-evaluated its long-term strategy and decided to close its Pesticide and Seeds business. The closure of the business was successfully executed in 2023.

E-Logistics
The Company's logistics business continues to maintain its focus on improving safety standards and bringing operational efficiencies. As part of the long-term strategy for this business segment, the Company decided to exit this business and is in the process of divestment of its assets.

Other Key Developments
Based on fiscal challenges, the government imposed further 6% Super-tax through the Finance Act 2023. In accordance with the Finance Act, 2023 10% super tax instead of 4% has been levied for TY 2023 and onwards. Resultantly, super tax charge for the prior year amounting to PKR 2,888 Mn was recorded inclusive of deferred tax. Considering 10% super tax was applied retrospectively in nature, therefore EFERT along with the Engro Group Companies and other industry players challenged the retrospective imposition of Super Tax before the Islamabad High Court (IHC).

EFERT does not however have any recourse to the imposition of additional 6% on TY 2024 and onwards, and as a result it has recognized an additional super tax charge of PKR 3,016 Mn and the same has been paid along with advance taxes during the year.

An additional development for the fertilizer sector during the year was the imposition of FED on all fertilizers vide Finance Act, 2023 from July 1, 2023. Consequently, 5% FED on fertilizers has been added to the pricing and hence input FED levied on gas, imports and other purchases by the Company is now claimable.

Furthermore, through Finance Act 2023, Sales Tax was imposed on DAP exclusively. Resultantly, 5% GST in addition to 5% FED has been added to the pricing, whilst GST inputs against DAP are now claimable. Accordingly, EFERT has started levying sales tax on its DAP invoices from July 1, 2023.

On suits filed for GIDC and end of concessionary gas period, the stay orders are in place. In 2022, the Government of Pakistan filed a response setting out their stance in the suit filed for GIDC on concessionary gas. The Company drafted a rejoinder to the stance submitted by the Government and has submitted the same before the Sindh High Court in due course.

financial review
During the year, the Company managed to deliver sales revenue of PKR 223.7Bn showing an increase of 42.5%, compared to sales revenue of PKR 157.0Bn in 2022. This improvement can be attributed to higher volumes recorded across all businesses as well as the rise in imported DAP prices.

The Company posted a gross profit of PKR 72.3Bn for the year which translates into a gross margin of 32%, compared to 27% in 2022. The increase in gross margin reflects efficiency brought forward through cost optimization and the increased production from the long-term reliability projects executed during 2022.

Financial charges of the Company reduced by 27% to reach PKR 1.9Bn from PKR 2.6Bn in 2022. Despite significant interest rate hikes during the period, the management was able to keep the finance cost under control through improved working capital cycles and ensuring efficient deployment of funds. The Company's tax expense for 2023 stood at PKR 23.5Bn compared to PKR 10.6Bn in 2023. Our tax expenses have increased due to imposition of super tax on the Company with an effective tax rate of ~47% for the year.

On a consolidated basis, the Company posted a profit after tax of PKR 26.2Bn showing an increase of 64% compared to profit after tax of PKR 16.0Bn in 2022. As a result, consolidated earnings per share rose to PKR 19.61/share compared to PKR 11.98/share in 2022. On a standalone basis the Company's profit after tax stood at PKR 25.7Bn, compared to PKR 15.4Bn in 2022, registering an increase of 67% year-on-year.